matter of probabilities. If you take a bet that has an 80 percent probability of winning, and you lose, it doesn't mean it was a wrong choice.

I totally agree. A big mistake investors make is that they judge whether a decision was right based solely on the outcome. There is a lot of randomness in the outcome. The same set of conditions can lead to different outcomes. If you played 2008 all over again, the same set of initial conditions would sometimes lead to the market bottoming sooner and sometimes lead to a depression. My take on it is that whether a trading decision was right or wrong is not a matter of whether you won or lost, but rather whether you would make the same decision all over again if faced with the same facts (assuming you have a profitable process).

2008 was the first time you had a significant loss at the same time the equity markets and other hedge fund managers were down sharply. What was different in 2008?

It all goes back to our net exposure indicator. If the current indicator value is in the lower quartile—that is, price valuations are low—we will be significantly long. If the market then drops sharply, we will lose money just like everyone else. If, however, the market breaks sharply when the indicator is in the upper quartile, then we will significantly outperform.

I noticed that you were net short for most of the bull market of the late 1990s, and yet you did very well. How did you manage to achieve strong returns being net short in a sharply rising market?

Stock picking. When the market sells off really hard, as happened in late 2008 to early 2009, it is usually a matter of liquidity. There's no place to hide in a liquidity sell-off; people sell everything because they have to, not because they want to. The reverse rarely happens on the upside. People don't run out and buy everything. There are always some stocks that are going down. The interesting thing is that shorts are actually easier to find than longs. It is easier to spot a broken company than a good company. It is easier to identify bad management than good management.